

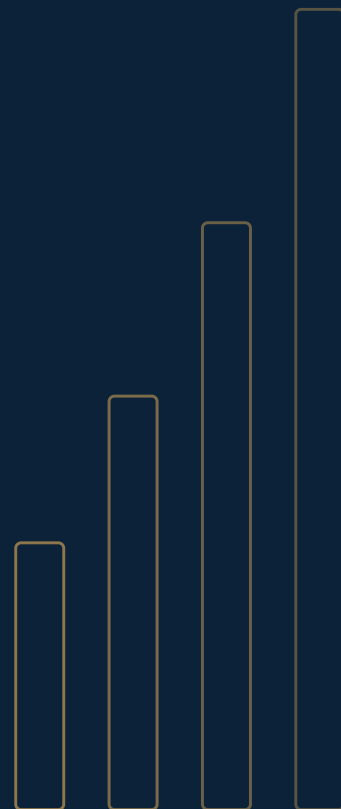
MAMBODLA

PROFESSIONAL ACCOUNTANTS

TAX GUIDE

2026 / 27

South African tax rates, thresholds
and practical reference points.



Tax year 2027 | 1 March 2026 - 28 February 2027

A practical Mambodla reference for individuals and businesses.

2026 / 27 EDITION

Clarity before complexity.

A concise guide to the tax numbers that matter most for the 2026/27 year.

THE MAMBODLA APPROACH

Tax rules can become technical quickly. This guide starts with the practical reference points most individuals, entrepreneurs and growing businesses need, then flags the areas where circumstances can materially change the answer.

What changed for 2026/27

- Personal income tax brackets, rebates and thresholds were adjusted.
- The annual Tax-Free Investment contribution limit increased to R46 000.
- From 1 Apr 2026, SARS applies higher VAT registration thresholds: compulsory R2.3m and voluntary R120 000 (subject to the applicable registration rules).
- Turnover Tax thresholds were substantially increased from 1 Apr 2026, including a R600 000 tax-free band.
- Several capital-gains exclusions increased, including the annual exclusion and primary-residence exclusion.

IMPORTANT

This publication is general information, not a tax assessment or a substitute for advice based on your facts. Tax legislation and SARS practice can change. Confirm material decisions before acting.

Inside the guide.

Reference first. Detail where it matters.

- 04** Individuals - tax rates

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Individual income tax.

Tax year 2027: 1 March 2026 - 28 February 2027.

Taxable income	Tax
R1 - R245 100	18% of taxable income
R245 101 - R383 100	R44 118 + 26% above R245 100
R383 101 - R530 200	R79 998 + 31% above R383 100
R530 201 - R695 800	R125 599 + 36% above R530 200
R695 801 - R887 000	R185 215 + 39% above R695 800
R887 001 - R1 878 600	R259 783 + 41% above R887 000
R1 878 601 and above	R666 339 + 45% above R1 878 600

Marginal rate, not a flat rate

Moving into a higher bracket does not mean all taxable income is taxed at that higher percentage. Each band is taxed at its applicable rate, with the higher rate applying only to the portion above the bracket threshold.

Rebates & thresholds.

The rebate reduces tax calculated. The threshold indicates the income level below which no normal tax is payable.

PRIMARY REBATE

R17 820

Available to all individual taxpayers.

SECONDARY

R9 765

Additional rebate from age 65.

TERTIARY

R3 249

Additional rebate from age 75.

Age	Tax threshold
Under 65	R99 000
65 to 74	R153 250
75 and older	R171 300

Worked example

Taxable income: R500 000 | taxpayer under 65 | before medical credits or other adjustments.

Step	Amount
Tax before rebate	$R79\,998 + 31\% \times (R500\,000 - R383\,100) = R116\,237$
Less primary rebate	R17 820
Estimated normal tax	R98 417
Approx. effective rate	19.68%

Savings, medical & retirement.

Useful annual and monthly limits for personal tax planning.

INTEREST EXEMPTION

R23 800

Under 65, per year.

INTEREST EXEMPTION

R34 500

Age 65+, per year.

TFI ANNUAL LIMIT

R46 000

Lifetime limit remains R500 000.

Medical scheme fees tax credit

Monthly credit	Amount
Taxpayer / first person	R376
Second person	R376
Each additional dependant	R254

Retirement-fund contribution deduction

Deduction is generally limited to the lesser of R430 000, 27.5% of the higher of qualifying remuneration or taxable income, and taxable income before taxable capital gains. Excess qualifying contributions may carry forward.

TAX-FREE INVESTMENTS

Annual contribution limit R46 000; lifetime contribution limit R500 000. Excess contributions can attract a 40% tax charge.

Retirement lump sums & provisional tax.

Separate tables apply to withdrawals and retirement/severance benefits.

Withdrawal benefits

Taxable lump sum	Tax
R1 - R27 500	0%
R27 501 - R726 000	18% above R27 500
R726 001 - R1 089 000	R125 730 + 27% above R726 000
R1 089 001+	R223 740 + 36% above R1 089 000

Retirement / severance benefits

Taxable lump sum	Tax
R1 - R550 000	0%
R550 001 - R770 000	18% above R550 000
R770 001 - R1 155 000	R39 600 + 27% above R770 000
R1 155 001+	R143 550 + 36% above R1 155 000

Provisional tax - the practical idea

Provisional tax is a payment mechanism for taxpayers who receive income that is not fully subject to employees' tax, including many business owners and investors. It is based on estimates of total taxable income. Eligibility and exclusions depend on the taxpayer's circumstances.

Companies, trusts & SBCs.

Core income-tax rates for the 2026/27 cycle.

COMPANIES

27%

Years ending 1 Apr 2026 - 31 Mar 2027.

OTHER TRUSTS

45%

Special trusts use individual rates.

SBC FIRST BAND

0%

First R99 000 of taxable income.

Small Business Corporation rates

Taxable income	Tax
R1 - R99 000	0%
R99 001 - R365 000	7% above R99 000
R365 001 - R550 000	R18 620 + 21% above R365 000
R550 001+	R57 470 + 27% above R550 000

SBC treatment is available only where the statutory qualifying requirements are met. Turnover alone does not determine eligibility.

Turnover Tax.

A simplified regime for qualifying micro businesses.

QUALIFYING TURNOVER CEILING

R2.3 million

Threshold effective 1 Apr 2026; eligibility rules apply.

TAX-FREE TURNOVER BAND

R600 000

2026/27 rate table.

Taxable turnover	Tax
R1 - R600 000	0%
R600 001 - R950 000	1% above R600 000
R950 001 - R1 400 000	R3 500 + 2% above R950 000
R1 400 001 - R2 300 000	R12 500 + 3% above R1 400 000

Why it matters

Turnover Tax can simplify several tax obligations for qualifying micro businesses. It does not automatically suit every business, and a business should test eligibility and the financial effect before electing the regime.

Value-Added Tax.

VAT remains 15%; SARS applies the new registration thresholds from 1 Apr 2026.

STANDARD RATE

15%

Applied to most taxable supplies.

COMPULSORY REGISTRATION

> R2.3m

Annual taxable supplies.

VOLUNTARY FLOOR

> R120k

Up to the compulsory threshold.

Three VAT treatments to distinguish

Standard-rated

VAT is charged at 15%, subject to the normal rules.

Zero-rated

A taxable supply charged at 0%; input-tax consequences differ from exempt supplies.

Exempt

No VAT is charged and input-tax recovery is generally restricted in relation to exempt supplies.

PRACTICAL NOTE

Registration thresholds use taxable supplies, not accounting profit. Timing, connected-person rules and compulsory-registration tests can make the analysis more technical.

Capital Gains Tax.

Capital gains are included in taxable income through the Eighth Schedule mechanism.

INDIVIDUALS

18% max

Maximum effective CGT rate.

COMPANIES

21.6% max

Maximum effective CGT rate.

OTHER TRUSTS

36% max

Maximum effective CGT rate.

Key exclusions

ANNUAL EXCLUSION

R50 000

Individuals and special trusts.

YEAR OF DEATH

R440 000

Annual exclusion for an individual in year of death.

PRIMARY RESIDENCE

R3 000 000

Gain/loss exclusion, subject to statutory requirements.

SMALL BUSINESS

R2 700 000

Age 55+; qualifying business value limit R15m.

Dividends & withholding taxes.

Headline domestic rates; tax treaties may alter some non-resident outcomes.

DIVIDENDS TAX

20%

Generally withheld at source.

ROYALTIES

15%

Certain SA-source amounts paid to non-residents.

INTEREST

15%

Certain SA-source interest paid to non-residents.

Other withholding reference points

Payment / transaction	Rate
Foreign entertainers & sportspersons	15% of gross qualifying amounts
Non-resident individual selling SA immovable property	7.5% withholding
Non-resident company selling SA immovable property	10% withholding
Non-resident trust selling SA immovable property	15% withholding

Treaty relief, exemptions and the exact legal character of a payment can change the final result. The headline rates are a starting point, not the end of the analysis.

Donations, estates & property.

Three areas where thresholds can materially affect planning.

Donations tax

R30m threshold cumulative from 1 Mar 2018

Reference point	2026/27
Rate on cumulative donations up to R30m	20%
Rate above R30m	25%
Annual exemption - natural person	R150 000
Casual gifts exemption - non-natural person	R20 000

Estate duty

20% on the first R30 million of dutiable value and 25% above R30 million. A basic deduction of R3.5 million applies, together with other deductions where the statutory requirements are met.

Transfer duty

Rates effective 1 Apr 2026

Property value	Rate
R1 - R1 210 000	0%
R1 210 001 - R1 663 800	3% above R1 210 000
R1 663 801 - R2 329 300	R13 614 + 6% above R1 663 800
R2 329 301 - R2 994 800	R53 544 + 8% above R2 329 300
R2 994 801 - R13 310 000	R106 784 + 11% above R2 994 800
R13 310 001+	R1 241 456 + 13% above R13 310 000

Travel, subsistence & fringe benefits.

Useful reference points for employees and employers.

REIMBURSIVE TRAVEL

R4.95/km

Subject to the specific allowance conditions.

MEALS + INCIDENTALS

R595/day

RSA subsistence deemed amount.

INCIDENTALS ONLY

R184/day

RSA subsistence deemed amount.

Employer-owned vehicle fringe benefit

- General monthly taxable value: 3.5% of the vehicle's cash cost including VAT.
- Where the vehicle was subject to a qualifying maintenance plan when acquired: 3.25% of determined value.
- For PAYE, 80% of the fringe benefit is generally included; this can reduce to 20% where the employer is satisfied that at least 80% of annual use will be business travel.
- Business kilometres must be supported by a logbook where required for assessment adjustments.

KEEP THE LOGBOOK

For travel claims, evidence matters as much as the rate.

Other taxes, levies & SARS interest.

A compact reference page for recurring business obligations.

Item	Reference rate / threshold
Securities Transfer Tax	0.25%
Skills Development Levy	1% of remuneration
SDL remuneration exemption threshold	Below R500 000 annual remuneration
UIF contributions	1% employer + 1% employee, subject to the statutory remuneration ceiling

SARS interest rates

Rates can change - check current SARS notice

Rate	Reference
Official fringe-benefit rate from 1 Jun 2026	8.00% p.a.
Late / underpayment of tax from 1 Mar 2026	10.25% p.a.
Refund of overpayment of provisional tax from 1 Mar 2026	6.25% p.a.

2026/27 at a glance.

The page to bookmark.

INDIVIDUAL TOP MARGINAL RATE

45%

COMPANY INCOME TAX

27%

OTHER TRUSTS

45%

VAT STANDARD RATE

15%

DIVIDENDS TAX

20%

CGT MAX - INDIVIDUALS

18%

CGT ANNUAL EXCLUSION

R50 000

TFI ANNUAL LIMIT

R46 000

VAT COMPULSORY THRESHOLD

R2.3m

TURNOVER TAX QUALIFYING CEILING

R2.3m

DONATIONS ANNUAL EXEMPTION

R150 000

TRANSFER DUTY ZERO-RATE BAND

to R1.21m

Always apply the detailed rules before acting on a headline rate.

Use the guide. Then use judgement.

Mambodla's aim is to make the starting point clear – not to pretend every tax question has a one-line answer.

Primary source basis

- SARS - Budget 2026 Tax Guide
- SARS - Rates of Tax for Individuals
- SARS - Companies, Trusts and Small Business Corporations
- SARS - Turnover Tax
- SARS - Medical Tax Credit Rates
- SARS - Tax Free Investments
- SARS - Capital Gains Tax
- SARS - Transfer Duty, Other Taxes & Interest Rates

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NEED CLARITY ON YOUR TAX POSITION?

Start the conversation with Mambodla.

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Publication disclaimer

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